

Planning Outcomes

Question 1: What are the two primary roles of a participant in a planning session?

Answer: To be ready to explore issues and ideas with an open heart and an open mind.

Key Point: The session's objective is to "Discover What We've Been Missing," which requires participants to collaborate and be open to challenging what they believe to be true.

Question 2: What are the four specific "Planning Domains" that structure the business review?

Answer: Business Targets, Strategic Orientation, Organisational Review, and Sales & Marketing Review.

Key Point: These domains provide a comprehensive framework to review everything from financial goals to internal team efficiencies and external market messaging.

Question 3: Which planning domain focuses on reviewing sequential revenue targets, debt ratio/risk tolerance, and work hours/annual leave expectations?

Answer: Business Targets Plan.

Key Point: This broad plan aligns the specific focus areas of the business with the personal income, lifestyle, and profit expectations of the owner.

Question 4: What is the primary purpose of conducting an Organisational Review?

Answer: To improve Efficiencies and Team Engagement.

Key Point: This is achieved by specifically reviewing Communication & Reporting Channels, Divisional Roles, and Individual Responsibilities within the hierarchy.

Question 5: In the Sales & Marketing Review, what is the required sequence of actions after you "Attract Attention" to your product or service?

Answer: You must then CONVERT Attention into Interest & Action so that finally, you secure their Custom.

Key Point: Marketing is a sequential process of moving a prospect from mere attention all the way to a secured transaction.

Question 6: Which strategic concept explores how customer trends, supplier tactics, new entrants, and substitute products can all impact your business at the same time?

Answer: Porter's 5 Forces.

Key Point: This framework helps you look out for changes in the market and anticipate how everyone will react, keeping you ready to take advantage of the situation.

Question 7: What does the "Progression of Economic Value" framework suggest will eventually happen to the "bright new thing" in a market?

Answer: It becomes the "minimum standard" in the future.

Key Point: This concept identifies what business imperatives to focus on depending on how a company adds value to its customer across the value chain.

Question 8: According to the Sigmoid Curve concept, when is the optimal time to invest in new ideas?

Answer: While you are still enjoying positive cash flow from your existing product.

Key Point: You must look ahead and plan investments or improvements BEFORE sales drop and you lack the cash to afford necessary changes.

Question 9: What is the core aim of a "Blue Ocean Strategy"?

Answer: To attract customers that wouldn't normally purchase your services or product.

Key Point: It explores ways to make your business, product, or service stand out entirely from all other traditional competitors.

Question 10: What specific problem-solving technique is recommended to ensure collaborative thinking and reduce the effect of dominant personalities during planning?

Answer: 6 hats thinking.

Key Point: Collaboration is key to planning; ensuring everyone is drawn into the problem-solving process prevents single perspectives from dominating the outcomes.

Bizz Targets

Question 11: How does "Argument thinking" differ from "Parallel (Collaborative) thinking" when assessing a building?

Answer: In Argument thinking, people stand on opposite sides of a building and argue their isolated views. In Parallel thinking, everyone joins together to view the building from the same side at the same time before deciding.

Key Point: Collaborative thinking requires teams to align their perspectives and terminology to assess problems effectively.

Question 12: What specific lifestyle metrics should be recorded in the Business Owner Expectations table?

Answer: Income and leisure time goals.

Key Point: Setting business targets begins with defining exactly what the business owner personally expects to extract in terms of money and time.

Question 13: What is the first definitive test that an Operational Objective must pass to be considered correctly defined?

Answer: It must be Observable / Measurable in its DEFINITIVE ASSESSMENT (either achieved or failed).

Key Point: Operational objectives must act as tangible, trackable milestones that serve as a resourcing or execution component of the plan.

Question 14: Why is the statement "Make work environment nicer, improve morale" categorized as a poor Operational Objective?

Answer: It is not measurable, lacks a specific timeframe, and does not define who is responsible or what exact action will be taken.

Key Point: A correct objective must be specific, such as installing a specific machine by the "End of Sept 2016" with a designated person responsible.

Question 15: Which three Profit Levers are directly associated with the aims to gain attention, capture interest, and secure custom?

Answer: Number of Foot-traffic, Number of Prospects, and Number of Customers.

Key Point: These levers represent the top of the sales funnel, transitioning external market attention into outbound message views, walk-ins, and ultimately purchasing customers.

Question 16: How is "Average Customer Spend" calculated within the 8 Profit Levers model?

Answer: Total Sales Value divided by Total Number of Transactions.

Key Point: Understanding the average transaction value is a crucial lever for keeping customers wanting more and multiplying total revenue.

Question 17: What two metrics are multiplied by the "Number of Customers" to calculate Total Revenue?

Answer: Average Customer Spend and Average Customer Frequency.

Key Point: Revenue is not just about getting customers, but multiplying them by how much they spend and how often they buy.

Question 18: Which Profit Lever corresponds to the effort to achieve BRAND RECOGNITION so that customers seek you out?

Answer: Activity Driven Costs.

Key Point: This represents the specific cost of gaining a customer through targeted activities and marketing efforts.

Question 19: How are Fixed Costs (Overheads) defined in the profit lever framework?

Answer: The total regular cost of 'Being Open For Business' – even when nobody buys.

Key Point: Overheads are the baseline expenses that must be reduced or managed regardless of sales volume to protect total profits.

Question 20: What is the recommended strategy if you are running short of time while completing the Profit Lever tables?

Answer: Identify just 1 task per lever for now, and do the rest when time provides.

Key Point: The accumulative effect of even small, incremental "quick win" actions across the levers will help drive massive business profits.

Strategic Orientation.1

Question 21: What is the very first stage in the Formal Planning Process?

Answer: Assess Current Position.

Key Point: Before determining strategy, a business must review its client base, insights, financial position, and resources to understand its starting point.

Question 22: What is the definition of "Strategy" derived from its original Greek military context?

Answer: The EFFECTIVE MEANS OF EMPLOYING AND DEPLOYING MEN AND RESOURCES TO ACHIEVE A POLITICAL OUTCOME.

Key Point: In business, strategy represents the overarching ethos, philosophy, or beliefs about how best to achieve the defined Strategic Objective.

Question 23: How is a Strategic Objective defined in the terminology framework?

Answer: A clearly defined, desired result (singular) inclusive of on-going management plans.

Key Point: The Strategic Objective is the ultimate "end game" target that all subsequent strategies, operational objectives, and tactics must support.

Question 24: In the '4-Box' Strategic Language model, what defines the actual methods or "on the ground" problem-solving skills used to achieve Operational Objectives?

Answer: Tactics.

Key Point: Tactics detail the exact task, who will do it, and when it will be completed within allocated timelines.

Question 25: Which military strategy translates in business to "Saturating the market to ensure its not cost effective for new players to enter"?

Answer: Scorched Earth.

Key Point: Military analogies provide contextual awareness for business defensive strategies against new entrants.

Question 26: What business action corresponds to the military strategy of a "Siege"?

Answer: 'Ring fencing' client relations by providing multiple service lines and involving the client's existing business network.

Key Point: Just as a siege blocks reinforcements, ring-fencing blocks competitors by deeply integrating into the client's ecosystem.

Question 27: According to Colin James, what specific domain of intelligence is required for contextual awareness and represents where 'group intelligence' resides?

Answer: 'Field Intelligence'.

Key Point: Achieving real collaborative innovation requires structuring team minds via shared templates and language to tap into contextual Field Intelligence.

Question 28: Why did Edward De Bono criticize the "Argumentative Theory" introduced by the Catholic Church?

Answer: Because it sought truth via a logical argument of two sides (positive and negative), which was not developed for 'creative value'.

Key Point: De Bono highlights that collaborative ('6-hats') thinking—where everyone looks from all sides together—is far more crucial for modern business problem-solving than argumentative debate.

Question 29: During the Pre-Planning Meeting Data Collection, what specific analysis table should be completed to record observations about business vulnerabilities and advantages?

Answer: The S.W.O.T analysis table.

Key Point: Identifying defined Strengths, Weaknesses, Opportunities, and Threats is a foundational step for assessing the current internal and external position.

Question 30: Where should a team brainstorm and record their Operational Objectives and Tactics (actions) during the session?

Answer: In the Automated Action Plan Reminder.

Key Point: Documenting tasks, responsibilities, and timelines ensures the strategy translates into executable and tracked actions.

Strategic Orientation.2

Question 31: What are the two key aims of using a guided thinking process with frameworks?

Answer: 1. Enables a 'deeper' understanding and exploration of the issues and possibilities, and 2. Aligns your thinking on singular aspects at a time.

Key Point: Grasping a concept theoretically before relating it to your own business vastly improves comprehension and memory recall.

Question 32: In the 5 Layers of Complexity model, what is the 'Psyche Error' associated with the "Intelligence" stage?

Answer: Optimism Bias.

Key Point: At the Intelligence stage (learning to notice what you don't know), leaders must avoid the cognitive trap of ignoring negative information that threatens current beliefs.

Question 33: What drives the negative manifestation of "Complacency" in the Orientation stage?

Answer: The mind and body's requirement to recover after sustained periods of mental and physical exhaustion (driven by Cathexis Energy).

Key Point: Complacency occurs when owners reach a stage of perceived security and lose focus on the external environment.

Question 34: In Vertical Integration, what are the two main objectives a business is usually trying to secure when expanding up or down the supply chain?

Answer: Secure Margin or Quality.

Key Point: Vertical integration (e.g., growing the tea vs. owning the cafe) should represent an opportunity to generate profits or protect quality in isolation.

Question 35: What is the major warning or "False Belief" associated with improper Horizontal Integration?

Answer: The false belief of 'Diversified Risk' when offering experience-related products that are not supportive of the core product and offer nil scale or cost benefits.

Key Point: Horizontal integration should support the core product (e.g., selling biscuits with tea, not stereo headphones) to achieve production or supply cost savings.

Question 36: According to Market Diffusion Theory, what percentage of market uptake is generally considered the 'Tipping Point'?

Answer: 15%.

Key Point: Reaching the tipping point (innovators and early adopters) is required before a new product can achieve widespread early and late majority success.

Question 37: In the Boston Model, what term describes a business that has high market share but exists in an industry with low transaction frequency/growth?

Answer: Cash Cow.

Key Point: Understanding if a product is a Cash Cow, Star, Problem Child, or Dog helps determine whether to execute sales or growth strategies.

Question 38: What defines the "Critical Price Point" in Chris Anderson's Technology Points framework?

Answer: The point where competitors release their versions, creating a race to drop prices to entice the 'Early Majority' to demand the product.

Key Point: Technologies enter at a premium, but manufacturing efficiencies eventually force the price down to achieve widespread market acceptance.

Question 39: What does the Sigmoid Curve framework seek to determine regarding business growth?

Answer: The Optimum Time to interrupt a Growth Curve before it reaches its peak.

Key Point: You must design and launch your next product/service while the original product is still in growth to offset predictable negative cash flows.

Question 40: How does Blue Ocean Strategy differ from competing in the "Red Water Zone"?

Answer: Instead of differentiating against competitors within normal industry confines (Red Water), it seeks to appeal to non-purchasing customers on the fringes by removing key frictions.

Key Point: Blue Ocean strategy serves a parallel industry to meet a customer need that is currently unmet by any direct competitor.

Profit Levers & Blue Ocean

Question 41: What is the primary purpose of conducting a Blue Ocean Strategy session?

Answer: To determine a 'Competitive Edge' or 'Differentiation Point'.

Key Point: The focus is on identifying key customer frustrations that stop them from purchasing, and actively planning to remove those blockages to differentiate.

Question 42: Give three examples of "Standard Competition Fronts" found in the Red Water Zone.

Answer: Price, Quality/Endurance, Convenience & Location, Consistency. (Any three).

Key Point: Competitors in the Red Water Zone seek to differentiate on these fronts but ultimately stay within the confines of 'normal' industry practice.

Question 43: Who is the target audience for a NEW Blue Ocean strategy?

Answer: Customers that are on the 'Fringes' of purchasing but don't consider the standard industry offer as being of value or relevance to them.

Key Point: By targeting non-consumers and eliminating industry-standard frictions, you create an uncontested market space.

Question 44: What specific method is suggested for brainstorming business activities to apply to the 8 Profit Levers?

Answer: Write ideas (like Pricing, Packaging, Brand Awareness) on post-it notes and place them against each of the Profit Levers.

Key Point: Visually mapping tasks to profit levers helps prioritize actions that will have the greatest accumulative effect on business growth.

Question 45: In the 8 Profit Levers model, what defines the "Number of Prospects"?

Answer: Shop Walk-ins, Phone-ins, or Social 'Click Thru'.

Key Point: Prospects are those whose interest has been captured (creating self-relevance), distinguishing them from mere foot-traffic.

Question 46: What is the mathematical calculation for determining Total Revenue using the Profit Levers?

Answer: Number of Customers multiplied by Average Customer Spend multiplied by Average Customer Frequency.

Key Point: Revenue growth is a multiplier effect of the volume of buyers, transaction size, and purchase repetition.

Question 47: Which Profit Lever is directly targeted when a business attempts to "Buy Materials/Stock FOR LESS"?

Answer: Sales Margin.

Key Point: Reducing the cost of goods sold increases the difference between the selling price and the cost, expanding the sales margin.

Question 48: How are "Activity Driven Costs" defined in the context of business expenses?

Answer: The Cost of Gaining A Customer.

Key Point: These are variable costs specifically associated with marketing and achieving brand recognition so customers seek the business out.

Question 49: What action must be taken on the Profit Levers table to ensure actual execution?

Answer: Build a simple TASK, WHOM, WHEN sheet to prioritize 'quick win' actions.

Key Point: Identifying profit levers is useless without assigning clear responsibilities and deadlines to drive business profits.

Question 50: What should you do if your session is running short of time while working on the 8 Profit Levers?

Answer: Identify just 1 task per lever for now, and complete the rest when time provides.

Key Point: Taking immediate, actionable steps on even a single task per lever will still initiate the accumulative effect of incremental changes.

Sales & Mktg Review

Question 51: What is the primary purpose of the "6 Marketing Questions" framework?

Answer: To get clear in your own mind about who you serve, how you add value, and what makes you special.

Key Point: You must firmly "Know what matters" from the customer's perspective before crafting any outbound marketing.

Question 52: What is the danger of being blinded by the "infinite quest for perfection" during a Product (Fit) Review?

Answer: You might review the product for what's best for your ego rather than what the customer REALLY values, potentially going broke in the process.

Key Point: Product reviews must utilize skepticism and pessimism to determine what features the target customer is actually motivated to pay for.

Question 53: What does the acronym A.I.D.C.R.A. stand for in the advertising construction model?

Answer: Attention, Interest, Desire, Credibility, Risk Removal, Action.

Key Point: This framework enforces a logical, psychological order for building effective adverts that transition a prospect from initial awareness to a clear purchase step.

Question 54: When building an Outbound Communication Plan, what three specific elements must you define after choosing your Concept Domain?

Answer: Mediums, Platforms, and Time & Money (Budget).

Key Point: Most messaging campaigns fail because they lack scheduled execution across specific visual, written, or spoken mediums.

Question 55: According to the Landing Page Logic framework, what should you do in the first 7 seconds (Section 1) to grab a reader's attention?

Answer: Provide 1 big promise and attractive graphics that depict customer success.

Key Point: The arrival assumption requires immediate validation that the reader has clicked the right link and that the page addresses "What can you do for me?".

Question 56: In "Sparketing" (Friction Review), what is the difference between a Feature and a Benefit using the drill bit analogy?

Answer: The Feature is the physical aspect (tungsten tipped), but the Benefit is WHAT that feature DOES for the customer (clean holes exactly where you want with less effort).

Key Point: Marketing statements must sell the 'sizzle' (customer outcome) rather than just the 'steak' (product component) to eliminate purchasing friction.

Question 57: What is the "Holy Grail" of branding, according to the presentation?

Answer: Having an IMAGE, a STORY, and a PROMISE that easily explains what makes you different and HOW THAT BENEFITS YOUR CUSTOMER (all in one).

Key Point: Imagery and messaging must be congruent to build powerful mental associations in the target customer's mind.

Question 58: What is the strict financial purpose of implementing a Customer Loyalty Programme?

Answer: To REDUCE the cost of gaining a customer and/or to EXTEND the frequency and average spend of EXISTING customers.

Key Point: You must stop giving stuff away if it doesn't translate into a measurable improvement in business profits.

Question 59: What is the major drawback (Con) of "Competitor Based Pricing"?

Answer: It places you in a 'battle of attrition' with competitors, raising the risk if your 'pockets aren't as deep as theirs'.

Key Point: Comparing 'like for like' forces businesses to fight on price rather than actual differentiated value.

Question 60: What is the difference between "Point of Sale" and "Consultancy selling" in identifying the Sales Arena?

Answer: Point of sale is product/features oriented assuming the motive is clear, whereas Consultancy selling places emphasis on the 'investigative' aspects of client needs and long-term relationships.

Key Point: You must map your sales process to match the environment and decision points typical of your specific sales arena.

Organisational Review

Question 61: What are the two primary Session Objectives when conducting an Organisational Review?

Answer: To develop a plan focused on improving Internal Efficiencies and improving Team Engagement.

Key Point: The organizational review exists to get clear on the internal Who, What, and Why of the business structure.

Question 62: What is the fundamental definition of a business "Culture"?

Answer: It's a collection of 'permissions' (spoken and unspoken) about how a group behaves together.

Key Point: A Culture acts as a Social Contract that makes employees feel safe and dictates where they WANT to belong.

Question 63: How is a business culture actually formed within an organization?

Answer: A culture is a reflection of leadership actions that are consistent (or otherwise) with a stated objective to which the group subscribes.

Key Point: Culture does not happen by accident; it is directly shaped by the observed, repeated behaviors of leadership.

Question 64: When dealing with Cultural Core Values, what creates the "conflict hierarchy" (Value Stack)?

Answer: The realization that "Everything's important until it clashes with 'another'".

Key Point: An organization must define the hierarchical order of importance (e.g., Human Needs vs. Customer Needs) to guide decisions when values conflict.

Question 65: When attempting to change organizational behavior, what must you realize you are actually dealing with?

Answer: People and their habits.

Key Point: True behavioral change requires breaking down actions into psychological components rather than just mandating a "culture shift".

Question 66: What are the five necessary components to build a new habit?

Answer: Reason, Trigger, Micro Habit, Effective Practice, Plan.

Key Point: Repetition of a micro-habit must be associated with a specific trigger environment to successfully replace old behaviors.

Question 67: Why is "Military Planning" and the 'chain of command' used as an analogy in business communication?

Answer: To ensure consistent communication and 'discipline' to ensure consistent actions under pressure.

Key Point: A clear hierarchy is not about ego, but about managing complex variables and bottlenecks efficiently, much like surviving the extremes of war.

Question 68: What is the purpose of designing an Organisational Hierarchy Chart?

Answer: To visually determine "Who reports to who?"

Key Point: Clarifying reporting lines ensures that communication is streamlined and responsibilities are unambiguous across divisions.

Question 69: What type of metric is used to measure the primary output and performance of a specific business division?

Answer: A Divisional KPI (Key Performance Indicator).

Key Point: For example, measuring 'Average Cash on Hand' ensures the Finance division is meeting its objective of maintaining sufficient working capital.

Question 70: What is a "Cascaded Operational Objective"?

Answer: Milestones broken down to each team layer, linking a specific Divisional Operational Objective to a responsible Team Member.

Key Point: Objectives must cascade down from the broader division to an individual to ensure visibility and task completion.

Business Dating

Question 71: What fundamental question does the "Business Dating" framework pose regarding human behavior?

Answer: WHY Do we change our thinking & behaviour (so much) from personal relations vs business relations?

Key Point: The framework highlights the hypocrisy of exercising caution in personal romance while rushing blindly into permanent business amalgamations.

Question 72: In the dating analogy, what represents a scenario where two parties meet to fulfill a singular project or contract and then move on?

Answer: A One night stand.

Key Point: This is a purely transactional relationship with no long-term security or commitment expected.

Question 73: How does the "Dating" phase improve a business relationship compared to a one night stand?

Answer: More effort is made to understand each other's requirements, serving a working partnership that increases security as time develops.

Key Point: Dating builds operational security without demanding total structural commitment.

Question 74: What does the "Engaged" stage allow business partners and those around them to do?

Answer: It allows them to mentally, physically, and financially prepare for amalgamation and allows those around them to 'test' the relationship.

Key Point: Engagement functions as a formal Alliance, exposing cultural fits or flaws before full integration.

Question 75: What business action is directly compared to "Marriage"?

Answer: An Acquisition (two parties become one, fully committed for better or for worse).

Key Point: Acquisition merges entities overnight, often leading to strained circumstances if cultures were not tested first.

Question 76: What is the central warning the author gives about immediate business acquisitions?

Answer: Few would contemplate getting married on the first date, yet business entities become one overnight and try to mold cultures under strained circumstances.

Key Point: Bypassing the dating phase removes the necessary discovery period required for successful integration.

Question 77: What practical strategy is suggested to simulate "dating" before a full business acquisition?

Answer: Conduct purchase valuations at the outset with a 12-month right of fulfillment allowing for withdrawal.

Key Point: This provides an escape clause, allowing entities to test cultural alignment safely via an Alliance phase.

Question 78: On the quadrant chart explaining the Dating Scene, what does the horizontal X-axis measure?

Answer: Commitment.

Key Point: The transition from Attraction to Commitment moves a relationship toward engagement and marriage.

Question 79: On the quadrant chart, what does the vertical Y-axis measure?

Answer: Security.

Key Point: Moving up the axis from Attraction to Security differentiates a fleeting transaction from a stable partnership.

Question 80: What core business decision sits precisely in the middle of the "Dating Scene" matrix?

Answer: Alliance vs Acquisition.

Key Point: The entire framework forces business owners to weigh the safety of a prolonged alliance against the absolute commitment of a rapid acquisition.

Force Field Analysis

Question 81: What are the two core questions that Force Field Analysis attempts to

answer: ?

Answer: What's pushing us forward and holding us back?

Key Point: The tool visually separates the driving forces of change from the restraining constraints.

Question 82: Before starting the analysis session, what must each participant ask for and make to ensure a productive environment?

Answer: Each must ask for PERMISSION and make a PROMISE.

Key Point: Participants must agree on what 'behaving badly' looks like beforehand to prevent personal attacks during conflict resolution.

Question 83: Why is Force Field Analysis highly effective for groups with the potential for conflict?

Answer: It allows people to 'describe from a distance' as if they are observing a group, which helps to lessen feelings of guilt or shame.

Key Point: Externalizing the problem removes personal attachment and defensiveness.

Question 84: What is the psychological purpose of defining the 'Worst Case' position during the exercise?

Answer: To describe a situation more dire than their own, using the fear of the worst outcome to generate the desire to act now.

Key Point: The worst-case scenario must linger in their minds to create a necessary sense of urgency.

Question 85: What typically constitutes the forces "pushing" a group to change?

Answer: External pressures.

Key Point: External market or economic pressures increase urgency and motivation.

Question 86: What typically constitutes the forces "holding them back"?

Answer: Emotions such as fear, uncertainty, risk, or trust (as well as constraints like lack of funds).

Key Point: Restraining forces are often internal, psychological barriers rather than just physical limitations.

Question 87: What is the critical role of the facilitator during this "bloodletting" exercise?

Answer: To keep the discussion away from 'personal attacks'.

Key Point: The facilitator must enforce the promised behavior to maintain a safe environment for open critique.

Question 88: What is the mantra used to ensure the group focuses on future actions rather than past blame when discussing the 'HOW'?

Answer: "We play the ball, not the player".

Key Point: This reinforces teamwork and objective problem-solving over personal grievances.

Question 89: When drawing the model on the whiteboard, what is drawn immediately after the "Worst Case Position"?

Answer: The "Forces" pushing me/us towards the goal.

Key Point: The visual structure establishes the boundaries (best/worst) before identifying the specific positive and negative forces at play.

Question 90: What is the final, essential step to ensure the Force Field Analysis results in actual change?

Answer: Drive an 'action plan' by placing tasks into an automated action plan reminder and CCing relevant people.

Key Point: Discovery without visible, assigned tasks will not improve client outcomes or resolve the restraining forces.

Pivot

Question 91: What is the target audience and primary objective of the "Pivot" framework?

Answer: It provides Rapid Strategy & Simple Test Frameworks For Agile Business Owners.

Key Point: The pivot model is designed for speed and agility, allowing owners to test and adapt quickly rather than building long, static plans.

Question 92: What are the five sequential steps of The Pivot Process?

Answer: 1. Identify the Resistance, 2. Choose Your Competition Fronts, 3. Rehearse the Message, 4. Trial the Prototype, 5. Do It & Review It.

Key Point: This agile cycle guides a business from diagnosing a market problem to executing a tested solution.

Question 93: In Step 1 of the Pivot Process, what core question is discussed to identify market resistance?

Answer: What's Forcing The Change?

Key Point: A successful pivot must begin by acknowledging the specific external or internal pressures making the current model unsustainable.

Question 94: What specific framework is utilized in Step 1 to assess pressures from new entrants, substitutes, customers, and suppliers?

Answer: Porter's 5 Forces.

Key Point: Porter's model provides a structured way to diagnose exactly where the market resistance is originating.

Question 95: During the assessment of resistance, what theory is used to determine if the market has simply reached saturation?

Answer: Market Diffusion Theory.

Key Point: It is crucial to determine if declining sales are due to reaching the 80% saturation threshold or if the product itself is becoming obsolete.

Question 96: In Step 2 (Choose Your Competition Fronts), which framework encourages leaving the "Red Water Zone" to eliminate customer frustrations?

Answer: Blue Ocean Strategy.

Key Point: A pivot often requires stepping outside standard industry practices to appeal to customers on the fringes.

Question 97: During Step 3 (Rehearse the Message), what question must you ask to ensure your new value proposition is viable?

Answer: Can We Clear The First Hurdle?

Key Point: If you cannot easily explain your pivot using the 6 Marketing Questions, the market will not understand it either.

Question 98: What structured advertising model is used to script the pivot's new messaging?

Answer: A.I.D.C.R.A (Attention, Interest, Desire, Credibility, Risk Removal, Action).

Key Point: Rehearsing the message ensures the prototype has a logical, persuasive sales funnel before spending money on trials.

Question 99: What are the two strict parameters that must be established before executing "Trial the Prototype"?

Answer: Budget & Timeline.

Key Point: Agile testing requires strict boundaries to ensure the pivot is evaluated quickly without catastrophic financial exposure.

Question 100: Name three specific elements that require a budget and timeline during the prototype trial phase.

Answer: Product Development, Market Research, and Competitor Analysis (or Team Learning, Prototype Solution, Messaging Appeal).

Key Point: A thorough test parameter sheet ensures every aspect of the new pivot is resourced and measured systematically.

Porter's & Pine

Question 101: What does Prof. Michael Porter's 5 Forces framework seek to explain to a business owner?

Answer: The forces influencing the profitability of your business (and industry).

Key Point: It identifies the competitive forces at play to help understand the likely financial return on capital and chance of failure.

Question 102: Which specific force in Porter's model asks, "Could your customers solve their problem in a different way?"

Answer: Substitutes.

Key Point: Substitutes threaten profitability by offering alternative products or services that fulfill the same customer need without being a direct industry rival.

Question 103: Which force focuses on the impact of technology and innovative approaches lowering barriers to entry?

Answer: New Entrants.

Key Point: It evaluates how easily new competitors can enter the marketplace to challenge your market share.

Question 104: According to Joseph Pine's Progression of Economic Value, what are the four stages of economic output starting from Extract?

Answer: Commodity, Goods, Services, Experience.

Key Point: Businesses must continuously evolve their offerings from raw extraction to orchestrated experiences to meet rising customer expectations.

Question 105: What is the required "Business Imperative" when transitioning a product from a Good to a Service?

Answer: Improve.

Key Point: While Goods require "Quality Control", Services require ongoing improvement to meet client demands.

Question 106: What "Consumer Sensitivity" metric applies when a business successfully delivers an "Experience"?

Answer: Authenticity.

Key Point: Customers will gladly spend both time and money for an experience they perceive as highly authentic.

Question 107: What natural economic force acts opposite to 'Customisation', threatening to drag value back down the chain?

Answer: Commoditisation.

Key Point: Without constant innovation and customisation, unique services and goods inevitably become viewed as basic commodities subject to price wars.

Question 108: According to Mike Barnes' addition to Pine's framework, what must happen to render an authentic product or service?

Answer: Both parties (business owner and consumer) must be on the same emotional level, achieved by a sincere attempt to 'connect'.

Key Point: Connection is the ultimate imperative; a sincere connection ensures the customer never forgets the experience.

Question 109: How does the Starbucks example illustrate Pine's theory of value progression?

Answer: It demonstrates how a raw coffee bean (commodity) worth 2-3 cents is progressively refined into an experience where customers pay 4-5 a cup.

Key Point: Transactional value increases massively as the delivery promise moves from basic supply to a connected, authentic experience.

Question 110: What action must a client take after reviewing the Progression of Economic Development frameworks?

Answer: Complete the table to record observations and their response to the changing economic environment.

Key Point: Frameworks are useless unless they are utilized to capture thoughts and design actionable business responses.